

DEMYSTIFYING DIGITAL CREDIT AND ITS EFFECTS ON KENYAN CONSUMERS

BY

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UNITED STATES INTERNATIONAL UNIVERSITY- AFRICA

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A Research Report Submitted to the Chandaria School of Business in Partial Fulfillment of the
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STUDENT'S DECLARATION

I, **KURUMA JEFFRY KUNG'U**, the undersigned, declare that this is my original work and has not been submitted to any other college, institution or university other than the United States International University in Nairobi for academic credit.

Signed: _____ **Date:** _____

Kuruma Jeffry Kung'u (653394) 14/08/2020

This project has been presented for examination with my approval as the appointed supervisor.

Signed: _____ **Date:** _____

Dr. Odoyo Selefano Fredrick

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ABSTRACT

Over the past decade, the field of Finance has had quantum leaps in its advancement. Being a forerunner in global financial technology, Kenya has undergone significant changes. This has heralded the widespread adoption of digital credit. Although, it has led to financial deepening in the country, it has had its challenges. Therefore, the subsequent study seeks to demystify the effects it has had on Kenyan consumers.

The information presented in this study will prove potentially beneficial to digital credit providers who may use it to innovate more consumer-friendly products. Similarly, consumers can gain a deeper understanding of digital credit and how they can ensure proper use of such facilities. On the other hand, future regulatory bodies can use the contents herein to formulate robust policies aimed at protecting both the consumers and digital credit providers.

To clearly outline the consequent effects, the study employed a sample survey research design. With millions of Kenyans being users of digital credit, a sample size of 77 was drawn using the snowball technique. The primary research tool used in data collection was questionnaires. Similarly, secondary sources of data from prior studies were used. To analyze the subsequent data, quantitative and descriptive approaches were applied.

The study concluded that a majority of digital credit consumers, about 52%, were affected positively by this novel innovation. The disbursed loans were used to meet personal needs, and day-to-day expenses. Moreover, they were used in businesses. It also emerged that digital credit was mainly used by young people who were in the age bracket of between 18 and 25 years. They composed approximately 74% of the respondents. Digital credit was preferred over conventional loans as they were fast, convenient and access was easy.

As digital credit is enhancing financial deepening, the improvement of the industry is pivotal. Therefore, concerted efforts should be put in place to ensure this. One main issue of concern that was highlighted in the study was the lowering of interest rates. Respondents agreed that the rates should be lowered, and similarly more regulations should be put in place to ensure smooth operation of the sector.

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Lastly, I want to express my love for my great alma mater, United States International University-Africa, for providing a solid foundation for my mental maturity.

DEDICATION

I dedicate this work to my mother, Rose Wangari, and all the knowledge seekers of this world.

TABLE OF CONTENTS

STUDENT’S DECLARATION	ii
COPYRIGHT	iii
ABSTRACT	iv
ACKNOWLEDGEMENTS	vi
DEDICATION	vii
CHAPTER ONE	1
1.0 INTRODUCTION	1
1.1 Background of the Study	1
1.2 Problem Statement	3
1.3 Research Questions	4
1.3.1 Are consumers in Kenya aware of the cost of digital credit?	4
1.3.2 Who are the major users of digital credit in Kenya?	4
1.3.3 How has digital credit affected Kenyan consumers?	4
1.4 Significance of the Study	4
1.4.1 Digital Credit Providers	4
1.4.2 Consumers	4
1.4.3 Researchers	4
1.4.4 Regulatory Institutions	4
1.5 Scope of the Study	5
1.6 Definition of Terms	5
1.6.1 Digital Credit	5
1.6.2 Financial Deepening	5
1.6.3 Over- Indebtedness	5
1.7 Chapter Summary	5
CHAPTER TWO	7
LITERATURE REVIEW	7
2.1 Introduction	7
2.2 Defining Digital Credit	7
2.3 Adoption of Digital Loans	7
2.4. Challenges of Digital Credit	8

2.4.1 Late Repayments & Defaulting	8
2.4.2 Multiple Borrowing	9
2.4.3 Over- Indebtedness	9
2.4.4 Rapid Scalability	9
2.5 Regulation of Digital Credit Providers.....	10
CHAPTER THREE	13
RESEARCH METHODOLOGY	13
3.0 Introduction	13
3.1 Research Design.....	13
3.2 Research Population & Sample Size	13
3.3 Data Collection Methods	14
3.4 Research Procedure	14
3.5 Data Analysis Methods	14
CHAPTER FOUR.....	15
RESULTS AND FINDINGS	15
4.1 Introduction	15
4.2 General Response Rate	15
4.3 Demographics Statistics.....	15
4.3.1 Age Demographics.....	15
4.4 Commonly used Digital Credit Platforms.....	16
4.5 Monthly Digital Credit Usage	17
4.6 Cost of Credit Awareness	17
4.7 Consumer Preference on using Digital Credit.....	18
4.8 Digital Credit Uses	18
4.9 Late Digital Credit Repayment.....	19
4.10 Digital Credit Defaulting Rate	20
4.11 Effect of Digital Credit on Consumers	21
4.12 Approaches to Improve Digital Credit.....	22
CHAPTER FIVE	24
DISCUSSION, CONCLUSION AND RECOMMENDATIONS.....	24
5.0 Introduction	24
5.1 Summary	24

5.2 Discussion of Findings.....	25
5.2.2 Popular Digital Credit Platforms and Regularity of Digital Credit Use	25
5.2.3 Evaluation of Consumer Awareness on Cost of Credit.....	26
5.2.4 Assessment of Digital Credit Use and Reasons for using it	26
5.2.5 Assessing the Effect of Digital Credit on Kenyan Consumers.....	28
5.3 Conclusion.....	29
5.4 Recommendations	29
BIBLIOGRAPHY	31
References	31
APPENDICES	34
APPENDIX 1: COVER LETTER.....	34
APPENDIX 2: QUESTIONNAIRE	35
3.6 Work Plan	38
APPENDIX 3: List of Digital Credit Platforms in Kenya.....	38
APPENDIX 4: List of CRB's in Kenya	39

LIST OF TABLES

TABLE 4.1: RESPONSE RATE	15
TABLE 4.2: AGE DEMOGRAPHICS	16
TABLE 4.3: DIGITAL CREDIT PLATFORMS	16
TABLE 4.4: MONTHLY USAGE OF DIGITAL CREDIT	17
TABLE 4.5: DIGITAL LOAN USES	19
TABLE 4.6: HOW DIGITAL CREDIT HAS AFFECTED CONSUMERS	21
FIGURE 4.6: EFFECT OF DIGITAL CREDIT ON CONSUMERS.....	21
TABLE 4.7: RECOMMENDATIONS.....	22
TABLE 3.1 WORK PLAN FOR ACTIVITIES	38

LIST OF FIGURES

FIGURE 4.1: COST OF CREDIT AWARENESS	17
FIGURE 4.2: REASONS FOR WIDESPREAD ADOPTION OF DIGITAL CREDIT.....	18
FIGURE 4.3: LATE DIGITAL CREDIT REPAYMENT	20
FIGURE 4.4: DIGITAL CREDIT DEFAULTING RATE	20
FIGURE 4.5: EFFECT OF DIGITAL CREDIT ON CONSUMERS.....	21

LIST OF ABBREVIATIONS

APR- Annual Percentage Rate

CBA- Commercial Bank of Africa

CGAP- Consultative Group to Assist the Poor

CRB- Credit Reference Bureau

DLAK- Digital Lenders Association of Kenya

FDIC- Federal Deposit Insurance Corporation

FSD- Financial Sector Deepening

KCB- Kenya Commercial Bank

KIHBS- Kenya Integrated Household Survey

SME- Small and Medium Enterprise

CHAPTER ONE

1.0 INTRODUCTION

1.1 Background of the Study

The roots of digital credit are deeply embedded in our social fabric. From the loan mechanisms of the Franciscan monks in England to the formation of the first co-operative in Germany, humans have adopted different methods of microcredit financing. Modern forms of microcredit can be traced to 1970's in Bangladesh (BNP Paribas, 2017). With the country undergoing turbulent economic conditions and facing a severe famine, an Economist professor, Muhammad Yusuf formed the concept of microcredit (BNP Paribas, 2017). He proposed the idea to different local banks who turned it down. Despite that, he ran a pilot test and disbursed a loan to a group of 42 women.

The result was an increase in productivity of the group's business. From the resultant cash flows, they fully paid the initial loan. Following this success, Prof. Yusuf founded the Grameen Bank which is hailed as the 'Poor people's bank'. The microcredit model thereby developed was assimilated by different financial institutions across the globe. The importance of this concept cannot be understated. In 2014, for instance, microcredit firms disbursed loans valued at \$87.1 billion globally (BNP Paribas, 2017).

In the 21st century, we have witnessed a proliferation of telecommunication technology around the world. These advancements have proved pivotal in the development of the finance industry. Characterized by rapid changes, the industry has subsequently integrated digital technology in provision of services and products to its consumers. These digitalization changes are particularly conspicuous in Africa. The innovations are primarily driven to reach people of low income who compose the majority of the population.

In regards to digitization of finance in Africa, Kenya is unequivocally a frontrunner. Having pioneered the first mass adopted mobile money service in 2007, M-PESA, the country has undergone

significant changes over the past decade; from the implementation of the Banking Act, in 2016, to its repeal under the Finance Act of 2019.

Amongst all the recent financial innovations in the country, digital credit services have emerged as an indispensable innovation. Seen as an alternative to the conventional bank, a preponderance of the Kenyan populace has resulted to using them. Their convenience to access short- to- medium term loans has primarily led them to be a major source of finance for many persons including SME's.

In the pre-mobile lending years, the process of obtaining a loan was not only cumbersome but also costly to the lending institution. Their introduction has consequently hastened the loan application process and similarly reduced the lender's operational costs. The management of digital credit is done remotely as algorithms are used to determine factors such as eligibility of loan applicant.

The growth of this market segment is clearly evidenced by the rise in formal loans disbursed by commercial banks, and alternative lending firms such as Tala, Branch and Zenka. Kenya's first digital lending platform was a collaborative effort between CBA and Safaricom that led to the birth of M-Shwari. By the second year of operation, M-Shwari had disbursed over 20 million loan (Totolo & Gubbins, n. d). Prior to this, CBA only had 13,000 open loan accounts.

In 2015, KCB launched a new digital product, KCB M-PESA. According to Totolo and Gubbins, the bank previously processed an average of 200,000 loans annually. After the launch, KCB's loan disbursement increased to 4 million by the end of the year (n. d). Evidently, the introduction of these novel lines of credit has increased financial deepening in the country. Those who previously had no credit history are now able to access credit.

Despite the successes of digital credit, anecdotal evidence points to practices of predatory lending. According to the FDIC, predatory lending refers to pricing of loans beyond the borrower's risk level to repay it (World Bank, 2013). Some digital credit lending firms in Kenya are charging APR as high as 130%. As a result of such, arguably, unethical practices, over indebtedness has increased. However, it is important to highlight that individual financial imprudence is the primary cause of

over indebtedness. Financial imprudence is characterized by poor financial decision making often due to insufficient financial knowledge. Therefore, many digital credit consumers buy digital credit products without fully understanding the terms and conditions, interest rates, and possible penalties.

Other than psychological risks posed to the consumer by over indebtedness, it similarly has an adverse effect to the economy. This can be clearly illustrated by the 2007 global recession. The consequences include an increased number of people blacklisted in CRB's if they eventually default. Inadvertently, the number of people having access to credit will decrease as many will be barred due to low credit scores. Moreover, as more people are unable to clear their debt obligations, the slip into poverty is inevitable (World Bank, 2013). Consequently, increased social pressure emanates as societal stratification becomes pronounced.

Operating in a constitutional lacuna, these firms pose a risk to Kenyan consumers as they are not under jurisdiction of any regulatory body. Therefore, the consumers need to be well- informed as they make decisions to acquire digital credit.

1.2 Problem Statement

It is clear that the introduction and subsequent success of digital credit has led to a deepening of financial inclusion in the country. This has however come at a cost to the consumer. To reiterate Aneel Karnani (2009), "The volatile combination of profit seeking companies, minimal competition, and vulnerable, ill-informed, ill-educated borrowers has opened up dangerous potential for exploiting the poor." Most consumers of these digital credit products are constantly finding themselves in perpetual debt. As a result of the ensuing over- indebtedness, the living standards of such individuals decline; which may ultimately lead to psychological malaise.

Other than that, the marketing techniques employed by digital credit providers, seem to not only be an invitation to treat, but a push to purchase these products. Individuals succumb to the invitation when in fact they did not need to procure a loan. They are thus left paying hefty penalties as most of

them do not have sufficient regular income. Consequently, this research seeks to understand digital credit and the negative impact it has had on its consumers.

1.3 Research Questions

The following are research questions postulated by the researcher:

1.3.1 Are consumers in Kenya aware of the cost of digital credit?

1.3.2 Who are the major users of digital credit in Kenya?

1.3.3 How has digital credit affected Kenyan consumers?

1.4 Significance of the Study

The research will be significant to:

1.4.1 Digital Credit Providers

Through understanding some of the challenges and risks digital credit poses to consumers, digital credit firms can use this research to develop products that address these risks.

1.4.2 Consumers

The study gives exploratory details to consumers who seek to gain insights into the digital credit market and potential effects of digital credit. Similarly, they can use the information herein to make informed decisions on whether to purchase these products.

1.4.3 Researchers

Researchers will find statistics and literature review herein indispensable to the expansion of the scope of knowledge in this sphere.

1.4.4 Regulatory Institutions

Potential digital credit regulatory bodies may also use this study in the formulation of fair and robust policies.

1.5 Scope of the Study

As aforementioned, the study seeks to understand digital credit and the impact it has had on Kenyan consumers. Moreover, it aims at unearthing the major users of digital credit and whether consumers are aware of the cost of credit. Therefore, it will focus on a consumer sample size of 100 in Nairobi. The relatively small sample size is due to the reduced interaction between individuals due to the current Covid-19 pandemic.

1.6 Definition of Terms

1.6.1 Digital Credit

Digital credit is any high interest short term loan that is disbursed almost instantaneously to a consumer by a digital credit provider.

1.6.2 Financial Deepening

Financial deepening herein is the increased financial coverage, particularly credit, to persons of low income.

1.6.3 Over- Indebtedness

Over indebtedness refers to a person whose current and foreseeable financial resources are inadequate to meet existing financial obligations without affecting the person's living standard.

1.7 Chapter Summary

The advancement of microcredit into the digital world has brought significant and welcomed socio-economic changes. Alleviation of poverty in the world's most poor cities has been propelled by this financial model. The ubiquitous adoption of smartphones in Africa has been key in not only provision of digital money services, but also the disbursement of digital credit. Kenya being a trailblazer in the digital credit industry, has achieved financial milestones that have consequently increased financial inclusion in the country. Many Kenyans are now capable of accessing credit to boost their businesses, improve their living standards, and also absorb emergency shocks.

However, despite the successes of digital credit, it has equally yoked its consumers on a treadmill of constant debt. Over indebtedness has thus resulted. This is largely attributed to the high costs of servicing these loans. The interest rates are as high as 130% per annum on relatively small loans. The inability to settle these loans has been a major cause of psychological issues amongst many.

Without laws governing the functioning of digital credit firms, consumers are exposed to possible predatory lending practices. Therefore, they ought to be protected from such risks and well- informed by the providers when making decisions to acquire the loans.

This study thus seeks to demystify digital credit and understand the role it has played in affecting consumers. Similarly, the study seeks to identify if consumers understand the costs of purchasing digital credit products. Furthermore, the study aims at providing a basis for future research in the field and also serve as lens to the development of industry policies.

CHAPTER TWO

LITERATURE REVIEW

2.1 Introduction

After the financial crisis of 2008, most conventional financial institutions increased their loan screening processes. They did this to assess customer risk as it was the primary reason for the collapse of major financial institutions like Bear Stearns. As a result, many people could not access formal credit and a financial gap was created. Alternative lending platforms, digital lenders, filled in the void. Propelled by the rapid smartphone proliferation, they are providing evolutionary opportunities to both investors and customers (World Economic Forum, n. d).

2.2 Defining Digital Credit

According to the CGAP, for a financial product to be classified as digital credit, it must first be accessed digitally (Hwang, 2016). Secondly, the loan decisions are arrived through automation and leveraging of digital data. Since credit score data is not accurately presented by the current CRB's, the providers use data such as mobile money usage, airtime purchase, utility payments, and social media data to form a basis for determining creditworthiness (Hwang, 2016). Moreover, the loans disbursed should be relatively small amounts and serviced over a short period. The interest charged over these loans are high and thus are risky products. Lastly, the loans provided are instantaneous. As opposed to the long approval process of conventional loans, these loans are disbursed at an average time of 5 minutes.

2.3 Adoption of Digital Loans

Access to different financial products has largely been steered by the prevalent use of smart phones. In 2019, according to an FSD survey, 82.9% of people could access such products and only 11% of the population was excluded. Access to digital credit has primarily been the driver to the narrowing of the financial gap.

By 2017, roughly 7 million phone-owning Kenyans used digital credit. A preponderance of these users was mainly in Nairobi, Mombasa, and the South Rift region. According to a survey report by KIHBS, the average loan taken by consumers was Ksh.4,000 (\$40). Moreover, the findings from the survey indicated that 70% of the digital loans were between Ksh.500-Ksh.7,000.

Other than digital loans being widely accepted in urban areas, employed workers in these towns, who are the majority, are the most active users. 1 in 2 employed persons has used digital credit (Gubbins & Totolo, n. d). This socio-economic phenomenon can be well explained through the lens of the annual average inflation rate which has been 7.6% from 2010 to 2017 (Mutisya, 2018). In sharp contrast, the real income of most employees has either remained the same or increased insignificantly. As a result, most employees result to borrow to bridge their incomes. Additionally, the rate of adoption amongst educated persons is 3 times as much as those with primary education or lower.

2.4. Challenges of Digital Credit

2.4.1 Late Repayments & Defaulting

The potential detrimental effects of digital debt have frankly outweighed its attractiveness. Many Kenyans have found themselves in the proverbial hamster wheel trying to juggle one debt after another. It is thus no surprise that almost 3.2 million people have been blacklisted on CRB (Emi, 2020). Despite the number of defaulters of being high, the value of the individual Non-Performing Loans is averagely Ksh.2,000 (Gubbins & Totolo, n. d).

One of the major reasons for late repayments and eventual defaulting is the high interest rates charged on the loans. In a 2017 survey, FSD found out that about 56.4% of the respondents could not evaluate the interest payable on a 10%- Ksh.10,000 loan (Alushula, 2019). Clearly, most borrowers end up taking up loans without an understanding of the cost. In 2016, for instance, the APR of Kopa Chapaa, a digital credit provider, was between 310% - 621% (Kaffenberger & Chege, 2016). APR refers to the annual cost of money borrowed which is paid to the lender.

Moreover, in the event of late repayment, a rollover fee is charged. Consequently, a majority of the people will end up paying more than the principal. If unable to meet the obligation, then eventual default is inevitable.

2.4.2 Multiple Borrowing

Behavioral economists have postulated that lending money via phones is different as compared to borrowing in conventional institutions such as banks (Kaffenberger & Chege, 2016). It is now common for digital credit providers to easily send messages to borrowers prompting them to take loans. In most cases, customers end up taking up these loans. This is merely one of the reasons that many find themselves servicing more than one loan.

The pressure to repay these loans is often too much a burden for most of the borrowers. In order to alleviate some of it, individuals will likely seek to take debt from a different credit provider to pay the initial loan. Subsequently, one enters into an adverse debt cycle which inherently leads to an unbalanced well-being.

2.4.3 Over- Indebtedness

Arguably, the number of people who are adversely affected by digital credit is on the rise. Over indebtedness has plagued many consumers. This not only poses a societal risk but also an industry risk. Evidently, the causes of over indebtedness are not solely as a result of the providers. Most of the persons taking these loans are financially illiterate. Therefore, they have poor financial plans that drive them into over indebtedness.

2.4.4 Rapid Scalability

Evidently, the digital credit market has undergone rapid growth. Digital lenders are rapidly increasing their scale to reach new consumers. However, this comes laden with risks to both the lenders and the borrowers. The former, for instance, faces the risk of losing consumer trust ensuing from aggressive

debt collection methods and increased over- indebtedness of consumers. Consequently, this may ultimately lead to an overall distrust of the industry posing a danger of reduced access to credit.

According to Lopez, the deterioration of credit in a country inherently leads to slump in the economy (2019). Due to inadequate supply of credit, employment rates are poised to decrease significantly and an increase in over- indebtedness ensues.

2.5 Regulation of Digital Credit Providers

As earlier noted, digital credit providers operate in a regulatory lacuna. No existing legislation, both the Banking Act and Microfinance Act, define their nature. Thus, CBK, charged with the role of monitoring lending has no jurisdiction over them.

Data from the CRB shows that a preponderance of the bad loans result from digital loans. Most consumers, who have little economic power, cried foul as they could not access credit facilities from other lenders. Subsequently, in 2018, the Financial Conducts Management Bill was tabled in parliament however, it is still pending approval (MMAN, 2019). The bill seeks to license and regulate digital lenders.

Despite CBK's lack of jurisdiction over digital lenders, it forwarded a charter in 2018 to promote a well-oiled environment by imposing market driven interest rates (MMAN, 2019). The charter mandated that digital credit providers be transparent and clearly articulate their terms and charges to consumers. Additionally, lenders were to adopt risk- based credit scoring techniques and to resolve consumer complaints within a week. In spite of the well-crafted regulations in the charter, it could not adopt.

In 2019, the DLAK proposed self-regulation of the digital credit industry (Owino, 2019). It purposed to do this by developing and implementing a code of conduct. The rules would ensure consumers are aware of clear digital credit pricing. Similarly, the codes would stipulate consumer data protection mechanisms by the provider (Owino, 2019). In recent times, consumers have complained of breach of privacy as some digital lenders have accessed their contact lists without consent.

In a bid to stop the wanton blacklisting of digital credit consumers with minimal debt amounts, the CBK formulated rules (Guguyu, 2020). The rules bar digital lenders from reporting defaulting borrowers to the CRB. The decision was informed due to public complaints of misuse of credit information sharing. It was also prompted by poor responsiveness to consumer complaints by the digital credit providers.

2.6 Empirical Evidence from other Studies

According to a research conducted by Gubbins and Totolo, over 75% of digital credit is accessed through M-Shwari and about 34.1% via KCB M-Pesa (n. d). Application based digital lenders, specifically Branch and Tala, account for 6.7% of the online digital credit market share. Moreover, their study indicates that a majority of the people cited convenience and rapid disbursement of loans as the primary reason for opting to use digital loans. In every 4 respondents, 3 considered convenience as a pivotal advantage while 41% highlighted speed of disbursement.

Additionally, as presented in the research, 49.7% of the respondents reported using digital credit to meet daily expenses. On the other hand, 36.7% cited using the loans for business purposes.

Late repayments and high defaulting rates have inevitably emerged as main impediments to digital credit. In a survey carried out by Kaffenberger, Totolo and Soursourion (2018), approximately 56% of the respondents said that they repaid a loan late. In a different study by Gubbins and Totolo, 1 in 2 respondents had a late loan repayment (n. d). From the latter's research, 12.5% of the sample size admitted to having defaulted on a digital loan. Similarly, the survey indicated that borrowers from M-Shwari are 30% more likely to either repay a loan late or default (Gubbins & Totolo, n. d).

Digital credit has conceivably led to financial deepening in Kenya. However, as earlier noted, most users are financially illiterate. Therefore, most borrowers are oblivious of the loan terms and affiliated costs. As shown by a study done in Rwanda, about 50% of borrowers, in the sample, were not cognizant of the loan terms (Intermedia, 2015). A focus group discussion steered by CGAP further

reiterates this. It forwarded that consumers had little awareness of the cost of credit and attached fees (Mazer & Foriollo, 2015).

It is important to highlight that from the study by Kaffenberger et al., most borrowers fall under the age bracket of 26 and 35 (2018).

CHAPTER THREE

RESEARCH METHODOLOGY

3.0 Introduction

According to Brown, research methodology is the framework within which research is to be conducted (2006). He further adds that it is the foundation upon which research is anchored on. Consequently, this chapter details the research design to be used by the researcher. Moreover, it details the target population and the subsequent sample to be involved in the study. The sampling technique and the data analysis methods to be employed are also discussed.

3.1 Research Design

Sileyew echoes that research design similarly provides the researcher with a robust framework to conduct a study (2019). In view of this, the researcher decided to apply the sample survey design. Through this design, the researcher was able to disburse questionnaires as the primary data collection tool.

3.2 Research Population & Sample Size

As aforementioned, there are roughly 7 million Kenyans who use digital credit. As thus, they define the population of interest in this research. Considering that there are many digital credit platforms in the market, the study did not focus on any particular one. This was to ensure objectivity during the research.

To carry out the research, the researcher used a sample size of 77 respondents. The researcher had set out to obtain responses from 100 respondents, however only 77 responses were submitted. To obtain this sample size, the snowball sampling technique was employed. According to Naderifar, Ghaljaei, and Goli (2017), the technique is a form of convenience sampling. The researcher employed this method as a potential difficulty of identifying target respondents existed. It was also used as it is cost effective and efficient.

3.3 Data Collection Methods

To necessitate the probe of findings from the research, the researcher used questionnaires as the primary method of data collection. Through them, comprehensive responses pertinent to the research were obtained. Similarly, secondary sources of data from studies already conducted were used.

3.4 Research Procedure

Considering the current prevailing Covid- 19 health precautions, the researcher administered the questionnaires through online surveys. Attached on the questionnaires was the purpose of research. This was done to ensure transparency when filling out the survey and to also enable respondents understand the significance of the study.

Before carrying out the research, a pilot study was conducted to test the simplicity and accuracy of the questionnaires. Additionally, it was done to ensure objectivity of the questions. The pilot study was be carried out by five respondents.

3.5 Data Analysis Methods

To derive meaning from the data collected, the researcher will used both quantitative and descriptive approaches. In the former, percentage was used as the primary analytical tool. The qualitative approach was also used to interpret responses. The researcher presented the resultant data in tables and pie charts to enable simple interpretation of the information.

CHAPTER FOUR

RESULTS AND FINDINGS

4.1 Introduction

The chapter herein details the findings from the respondents. The subsequent raw data is presented in tabular, percentage, and graphical form. This is done to enable accurate analysis crucial for deriving meaningful information. The information thereby derived will be used in the subsequent chapter to provide a basis for an in-depth understanding of the research questions postulated.

4.2 General Response Rate

Of the targeted 100 respondents, the researcher received responses from 77 respondents which represented a 77% response rate.

Table 4.1: Response Rate

Category	Frequency (Respondents)	Percentage (%)
Responded Questionnaires	77	77
Non- responded	23	23
Total	100	100

Source: Researcher (2020)

4.3 Demographics Statistics

4.3.1 Age Demographics

The questionnaires did not focus on the gender of the respondents. It rather sought to understand the age demographic of all the respondents. Of the 77 respondents, 74.03% were between the ages of 18 and 25 years. 10.39% of the respondents were in the age bracket of 26 and 33 years while 5.19% were in the 34 to 41 years age bracket. Lastly, 10.39% reported to be 42 years and above.

Table 4.2: Age Demographics

Age Bracket (Years)	Frequency	Percentage (%)
18 – 25	57	74.03
26 – 33	8	10.39
34 - 41	4	5.19
42 and Above	8	10.39
Total	77	100.00

Source: Researcher (2020)

4.4 Commonly used Digital Credit Platforms

From the survey, it was observed that 51.96% of the respondents preferred using M-Shwari. Loans from Tala and Branch were applied by 14.71% and 13.73% of the respondents respectively. Moreover, 9.8% reported to using KCB- Mpesa while 4.9% said they use Fuliza. Only 0.98% used Police Sacco Q-Cash and 3.9% did not use any digital credit platform.

Table 4.3: Digital Credit Platforms

Digital Credit Platform	Frequency (Responses)	Percentage (%)
M-Shwari	53	51.96
Tala	10	14.71
Branch	15	13.73
KCB-Mpesa	14	9.8
Fuliza	5	4.9
Police Sacco Q-Cash	1	0.98
None	4	3.92
Total	102	100

Source: Researcher (2020)

4.5 Monthly Digital Credit Usage

According to the results from the questionnaires, 94.81% of respondents said that they accessed digital loans 1 to 3 times in a month as indicated in table 4.3. Further, 3.9% reported using digital loans more than 6 times on a monthly basis while the remaining 1.3% of the respondents cited 4 to 6 times.

Table 4.4: Monthly Usage of Digital Credit

Monthly Usage (Times)	Frequency (Respondents)	Percentage (%)
1 – 3	73	94.81
4 – 6	1	1.3
More than 6	3	3.9
Total	77	100

Source: Researcher (2020)

4.6 Cost of Credit Awareness

From the 77 respondents, 64 put forward that they were aware of the cost of credit when applying for digital credit. On the other hand, 13 said that they were not cognizant of the cost of credit.

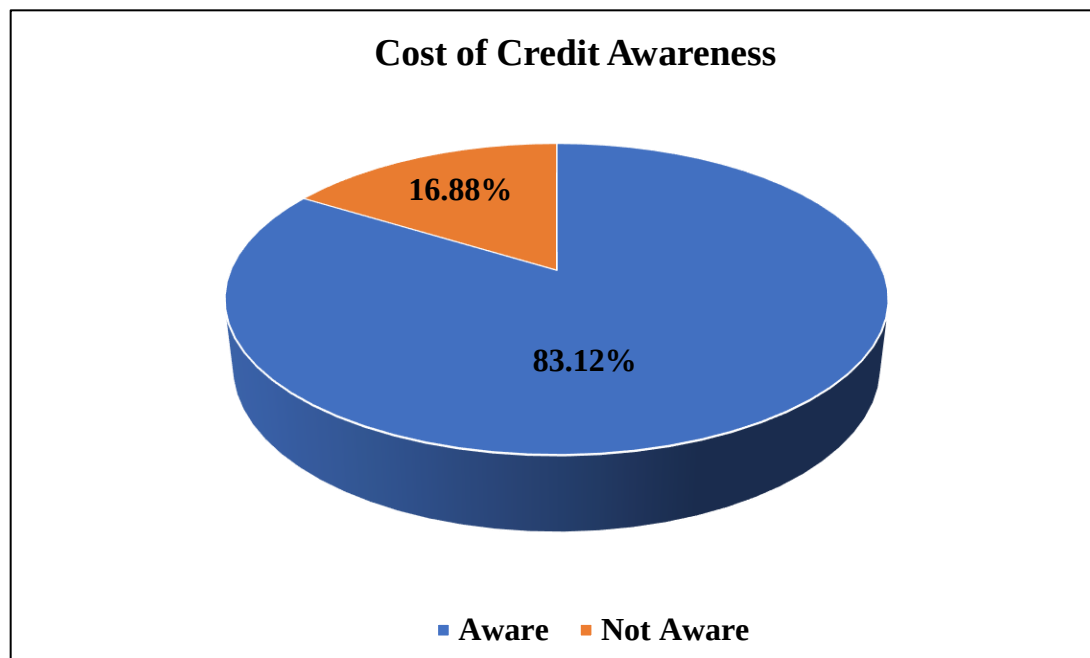


Figure 4.1: Cost of Credit Awareness

Source: Researcher (2020)

4.7 Consumer Preference on using Digital Credit

Of the 84 responses submitted in regards to this survey question, 36.9% put across that they preferred using it due to the fast disbursement of money. Additionally, 33.33% stated convenience whereas 29.76% cited the ease of access as a reason.

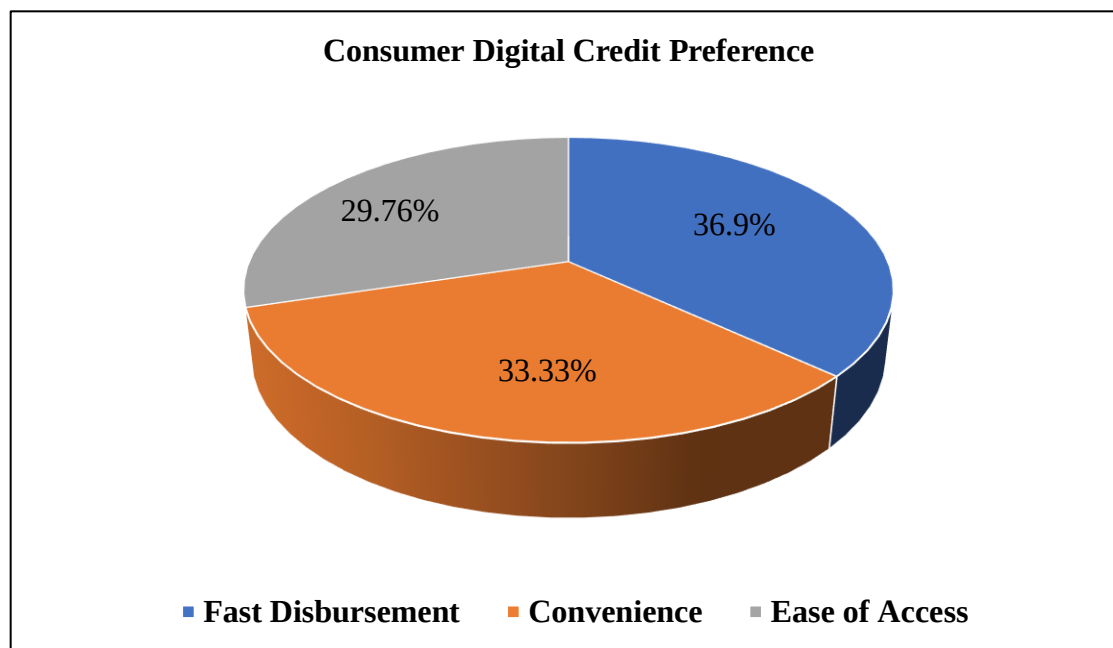


Figure 4.2: Reasons for widespread adoption of Digital Credit

Source: Researcher (2020)

4.8 Digital Credit Uses

As reported from 78 responses, 19.23% reported that they used digital loans for personal uses. Moreover, 15.38% of the responses showed respondents applied for the loans to pay bills, and meet emergency obligations respectively. To further business enterprises and investments, 14.1% said they used it for this purpose. On the other hand, 12.82% met their daily expenses through the credit as 7.69% stated using it to meet household expenses. In addition, 5.13% reported to achieving general needs as a further 5.13% said they used it for entertainment purposes. Similarly, 3.84% expressed that the loans covered short term cash windfalls. Only 1.28% supplemented income through digital credit.

Table 4.5: Digital Loan Uses

Digital Loan Use	Frequency (Responses)	Percentage (%)
Personal Use	15	19.23
Payment of Bills	12	15.38
Emergency	12	15.38
Business	11	14.1
Daily Expenses	10	12.82
Household Expenses	6	7.69
General	4	5.12
Entertainment	4	5.12
Cover short term windfalls	3	3.84
Supplement Income	1	1.28
Total	78	

Source: Researcher (2020)

4.9 Late Digital Credit Repayment

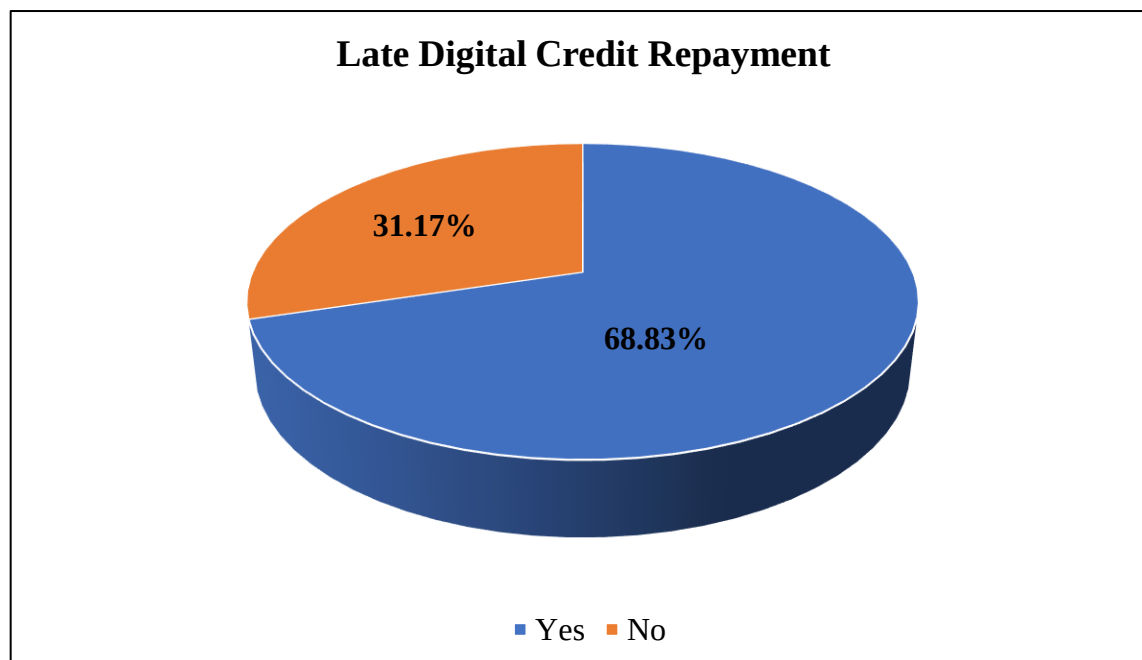


Figure 4.3: Late Digital Credit Repayment

Source: Researcher (2020)

According to the responses submitted, 53 of the respondents reported of having repaid their loans late. The remaining 24 cited that they never had a late digital loan repayment. The Figure 4.3 above shows the representative percentages of the responses.

4.10 Digital Credit Defaulting Rate

As per the questionnaire results, 18 respondents, who represented 23.38% of the total sample, detailed that they had defaulted on a digital credit facility. Conversely, the remaining 59 respondents making up 76.62% of the sample, relayed that they had never defaulted. The figure 4.4 below graphically depicts these findings.

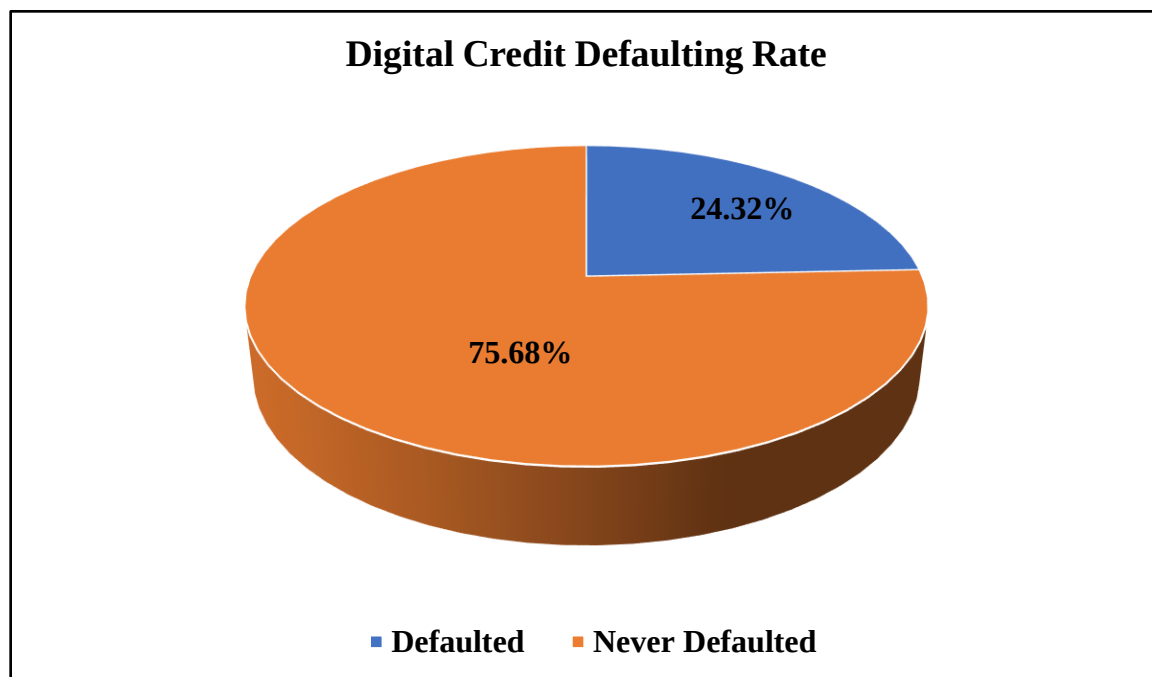


Figure 4.4: Digital Credit Defaulting Rate

Source: Researcher (2020)

4.11 Effect of Digital Credit on Consumers

To show how consumers were affected by digital credit, the researcher made use of a likert scale. The scale was from 1 to 5. With 1 representing the most negative effect while 5 the most positive effect. The Table 4.4 below shows the responses from the survey.

Table 4.6: How Digital Credit has affected Consumers

Likert Scale	Frequency (Respondents)	Percentage (%)
1 (Most Negative)	14	18.18
2 (Weak Negative)	4	5.19
3 (Neutral)	29	37.66
4 (Weak positive)	16	20.78
5 (Most Positive)	14	18.18
Total	77	100

Source: Researcher (2020)

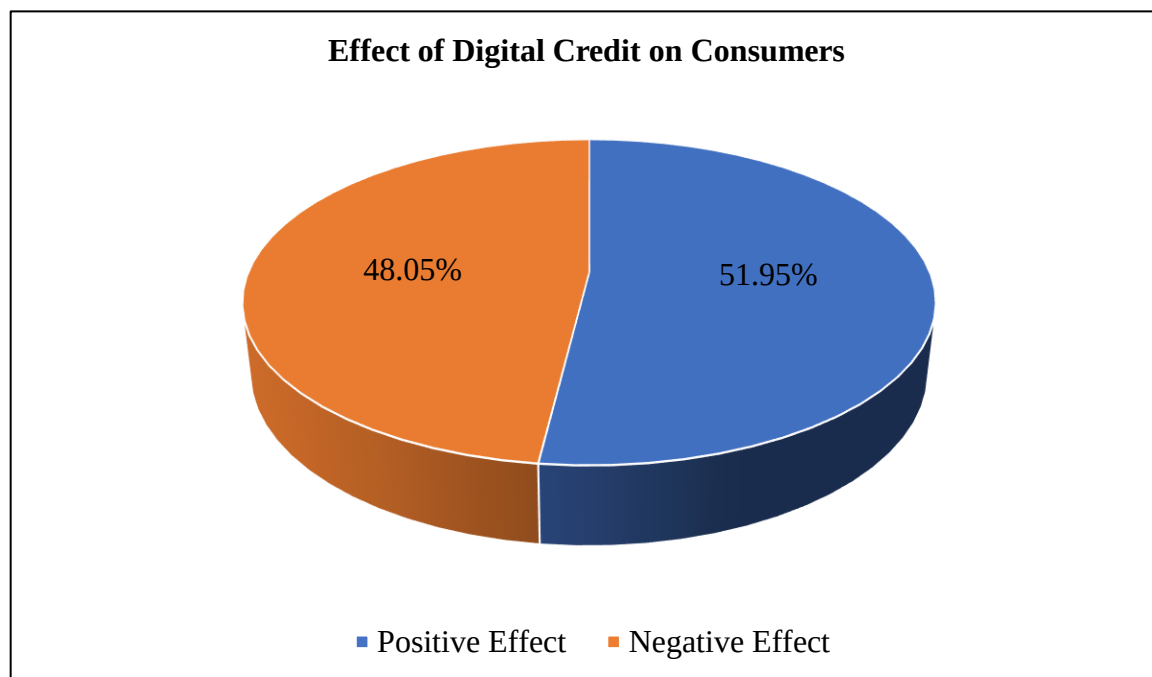


Figure 4.5: Effect of Digital Credit on Consumers

Source: Researcher (2020)

Following the rating on the likert scale, respondents were requested to explain in prose how it affected them. Cumulatively, 51.95% (40) concurred that they experienced positive effects from digital credit. Conversely, 48.05% (37) reported of having being affected negatively. The figure 4.5 shows the diagrammatic results.

4.12 Approaches to Improve Digital Credit

The survey prompted the respondents to give possible recommendations to improve digital credit. Most responses, 34.07%, suggested that interest rates should be decreased. Moreover, 13.19% agreed that more stringent regulations should be implemented whereas 12.09% deemed it fit for providers to increase the loan payment duration. Further, 9.89% suggested they should more information given to consumers while 8.79% said digital credit providers should increase the loan amounts. Contrastingly, 4.4% preferred that loan amounts be decreased. Likewise, 5.49% reported that digital loans should be made safer for the youth.

Additionally, 3.29% put forward providers should introduce more innovative products. One respondent suggested the introduction of a platform where one could view the CRB status; while another said providers should not block late re-payers from accessing credit. Only 6 of the responses were invalid.

Table 4.7: Recommendations

Recommendation	Frequency (Responses)	Percentage (%)
Reduce interest rates	31	34.07
More regulation	12	13.19
Increase loan repayment duration	11	12.09
More information given to consumer.	9	9.9
Increase loan amounts.	8	8.8

Make them safer for youth.	5	5.5
Reduce amount lent.	4	4.4
More innovative products.	3	3.3
CRB rating platform.	1	1.1
Not blocking late re-payers.	1	1.1
Invalid response	6	6.6
Total	91	100

Source: Researcher (2020)

CHAPTER FIVE

DISCUSSION, CONCLUSION AND RECOMMENDATIONS

5.0 Introduction

The contents of this chapter comprise of an in-depth discussion of the findings. The findings are compared to empirical data relayed from other similar studies. The conclusion of the study is drawn as recommendations are given to improve digital credit and the industry.

5.1 Summary

The aim of this research was to assess how digital credit has affected digital credit consumers in Kenya. In its conduction, the researcher was guided by 3 research questions. The first one interrogated consumer awareness on the cost of credit. The second question sought to decipher the major users of digital credit. Lastly, the third question sought to determine how digital credit had affected Kenyan consumers.

The research was done through a sample survey design. Questionnaires were disbursed through online social media platforms to capture a wide audience of potential respondents. Of the targeted 100 respondents, 77 submitted their responses. The data thereby collected was then processed, analyzed, and summarized via Google Forms and Microsoft Excel. The analysis primarily used percentages as an analytical tool. Graphs and tables were then constructed to relay the extracted information.

From the findings it was evident that the major users of digital credit were young individuals who reported to be between 18 and 25 years. Moreover, through the responses, it was revealed that the loans taken primarily met personal needs. To answer the third research question, about 52% of the respondents said they had been positively impacted by the availability of digital loans. Conversely, approximately 48% mentioned that digital credit had negatively affected them. Positive effects included the ability to meet impromptu financial obligations; whilst the negative effects mentioned comprised of blacklisting in the CRB.

5.2 Discussion of Findings

5.2.1 Demographic Assessment of Major Users of Digital Credit

As evidenced from the findings in table 4.2, the majority of users comprise of individuals in the 18 to 25 years age bracket. They composed about 74% of the respondents. Most of them can be categorized as dependents. Contrastingly, according to a study conducted by Kaffenberger et al., most of the users are in the age bracket of 26 and 35 years (2018). There is seemingly an increase in the younger population adopting digital credit services. The increase can be attributed to an existing financial gap resulting from an inadequate receipt of money from their guardians.

5.2.2 Popular Digital Credit Platforms and Regularity of Digital Credit Use

According to Gubbins and Totolo's survey, a preponderance of people, 75%, accessed digital loans via M-Shwari (n. d). Their finding was reiterated in this study where 51% of the respondents used M-Shwari. The platform was the first of its kind to be rolled out in the country. Compared to other digital credit providers, M-Shwari charges lower facilitation fees. Similarly, its longer loan repayment duration makes it a preferred choice for most Kenyan consumers.

On the other hand, application-based digital loan providers, Branch and Tala, have conspicuously increased their market share. In this research, they have a combined access of 28.44% by users. The rate opposes the 6.7% access rate established in a prior study by Gubbins and Totolo (n. d). From the increased marketing campaigns, app-based lenders have increased their market share. Similarly, their easy to use interfaces has attracted more consumers.

In sharp contrast to a study showing the access of digital loans through KCB M-Pesa by 34.1% of users (Gubbins & Totolo, n. d), only 9.8% of the surveyed participants in this study used it. The new entrants in this market segment are potentially a reason for KCB's dwindling digital credit market. Moreover, the varying levels of adoption depict a growing competitive industry which is paramount in its improvement.

Fuliza, a relatively new digital credit product by Safaricom is gaining traction. From the study, about 5% reported using it regularly. The study similarly showed that the civil service is adopting digital credit technology to aid its members. The Kenya Police Service has developed Q-Cash, a digital credit platform. Through it, members of the police service can access credit up to Ksh.15,000 (Kenya Police Sacco, n. d). The loans are offered at a monthly rate of 5% which is significantly lower over corporate digital credit.

The continual development of digital credit services cannot be understated. As shown in the study, 73 respondents said they accessed digital loans 1 to 3 times in a month whilst 3 accessed them more than 6 times. From this, it is deducible that the loans are pivotal in supplementing income for most persons. Through them, people are not only shaping their economic life but also their social life.

5.2.3 Evaluation of Consumer Awareness on Cost of Credit

As indicated by a study done in Rwanda, 50% of borrowers were not cognizant of loan terms (Intermedia, 2015). Moreover, a conclusion drawn, from a focus group discussion by CGAP, suggested that borrowers were unaware of the cost of credit. However, both of these postulations were incoherent from the findings in this survey where 83.12% stated that they were aware of the credit costs, and only 16.88% were unaware of the costs.

Over the last few years, there have been complaints from the public about inadequate information given to digital credit consumers. From the findings, it seems that the concerns were adhered to thus leading to a more informed consumer. Additionally, it is inferable that financial literacy levels in Kenya are increasing.

5.2.4 Assessment of Digital Credit Use and Reasons for using it

As per the conducted analysis, most consumers, 19.23%, used digital loans to meet their personal needs. These needs as defined in the responses include the running of errands, purchase of personal emoluments, and the realization of personal projects. According to a prior survey, 49.7% of digital

loan consumers reported of using the loans to meet their daily needs (Gubbins & Totolo, n. d). Conversely, only 12.82% of the respondents herein met their daily expenses through digital credit.

Debt uses differ across persons. As earlier stated, it is expected that debt needs to be used for the generation of income. This seems to be the case in the study of Gubbins & Totolo (n. d) where 36.7% of the respondents used it for business purposes. However, 14.1% cited to using it for business purposes in this study. More people, 15.38%, are instead using the loans in payment of bills.

The use of digital loans to meet financial emergencies was similarly identified by 15.38% of the user in this study. The emergencies comprised of unplanned medical, and utility bills. Furthermore, the study shows that digital loans are increasingly being obtained as individuals wait for their salary remuneration. The acquisition by such persons is mostly used to meet monthly household expenses. The loans are also used to pay for leisure and entertainment services as expressed by 5.13% of the responses. Similarly, due to cash windfalls, people resort to access digital credit to cover the financial gaps.

The uses of digital credit discussed lucidly show the interweaving of digital loans into the social fabric. The primary reason for their high adoption rate, as presented by 36.9% of the survey participants, was the fast disbursement of money. The finding is in consonance with Gubbins and Totolo's study that revealed 41% of digital credit users considered speed as a main reason for using such loans (n. d). Consumers put across that they received amounts in a matter of minutes.

As the access of digital credit does not require collateral and strenuous legal formalities are eliminated; consumers maintained that convenience was a determinant for use. Similarly, the fact that digital loans could be repaid online wooed them to accessing these loans. Since most of the providers are simple to use, respondents mentioned that access to credit had been eased. This is illustrated by figure 4.2.

5.2.5 Assessing the Effect of Digital Credit on Kenyan Consumers

As with all technological innovations, digital loans are laden with both positive and negative effects. According to this study, approximately 52% of the respondents agreed that they had a positive impact from utilizing digital credit. They reported that the ease to access credit enabled them to meet abrupt financial obligations. Moreover, the ability to run business operations seamlessly through the loans, during periods of reduced cash flows, was cited as a positive consequence. The loans also enable people to avoid social embarrassment associated with borrowing money from friends and family. The access to digital credit also means that individuals were able to maintain their standards of living as loaned amounts could be used to meet living expenses.

In contrast, 48.05% of the responses indicated that consumers were negatively affected by digital credit. The high cost of loan repayment was highlighted as particularly dissatisfying. The consumers expressed that the penalties accrued due to late repayment were exorbitant and led them to a worsened financial position.

Nevertheless, the negative effects are also attributable to poor management practices. Some of the respondents stated they had become dependent on digital loans to fund expensive lifestyles. The fact that they are readily accessible, some respondents mentioned they resulted to using them in spite of have no urgent need to meet. As a result, they ended up paying high costs for unnecessary expenses.

Similarly, the long duration spent in paying debt disabled many from saving. Thus, they could not save to make worthwhile investments. In the same breadth, the black-listing of 24.32% of digital credit users, in this study, in the CRB rendered them unable to access loan facilities. For such individuals, it is inherently difficult to start capital intensive investments. More than that, they overall psychological well-being was affected.

Another negative phenomenon that emerged was multiple borrowing. Respondents resulted to multiple borrowing mainly to meet other debt obligations. Consequently, the probability of becoming over-indebted significantly increased.

5.3 Conclusion

Digital loans have inadvertently led to financial deepening in Kenya. Currently, more than 80% of Kenyans have access to online credit facilities. Their popularity has increased over the years due to their convenience, fast disbursement of money, and their ease of access.

Among the Kenyan populace using digital credit, the major users are young people. The financial literacy levels are arguably increasing in not only the young, but also the rest of digital credit users. This is proven by the fact that most Kenyan digital borrowers are today aware of the cost of credit.

The obtained digital loans are used mainly to meet personal needs and daily expenses. Further, the easy access to digital credit enables users to get money during emergencies. Those conducting businesses have similarly profited from the readily available digital loans. They are able to meet business expenses via digital credit when cash flows have reduced.

Albeit most Kenyan digital credit users, in this study, have had a positive impact from the loans, others have been negatively affected. This has resulted from the fact that they ultimately paid more than the initial cost of credit due to high interest rates and penalties. Similarly, the easy access to credit has prompted some user to resort to multiple borrowing to meet debt obligations. Consequently, digital credit users are finding themselves in a vicious debt cycle leading to over-indebtedness. The increase in over-indebtedness has led to an inability to save.

Seemingly, the effect of digital credit on a consumer is incumbent on their financial behavior. They are thus obligated to adopt sound financial personal finance habits to optimally use digital loans.

5.4 Recommendations

Digital credit has evidently led to financial inclusion in the country. Those who previously were considered ineligible to apply for loans currently have multiple options to access loans online. The development and improvement on the digital credit sector is hence indispensable in achieving long term socio-economic goals.

A majority of the respondents suggested that digital loan providers should reduce their interest rates. This will not only encourage more people to access credit but also reduce their number of people who are over-indebted. Additionally, this will free up cash flows that can be used in the generation of income.

Moreover, more regulations should be imposed. The CBK should, for instance, introduce interest rate caps for the providers. The organ should also enforce stringent entry policies to deter fraudulent providers from entering the market. Some of the providers have been accused of charging consumers a fee prior to obtaining a loan and the former failed to disburse the loan.

It is also incumbent for providers to put in place robust formalities in the screening process of the loan applicant. Consequently, only creditworthy persons will have access to credit. Thus, the number of potential defaulters will be decreased. Nonetheless, they should educate consumers on the proper use of digital loans. This could be done via online forums where consumers can also be familiarized with loan associated financial terms.

As shown in the study, the majority of digital credit users are dependents. Therefore, providers should make sure that the loans are safe for them. They can achieve this by having waivers on credit costs and increasing the loan payment duration. In addition to this, they should introduce more innovative products in the digital credit market. In line with this, providers should similarly increase the accessible credit amounts. SME's can thus gain sufficient capital for business growth.

To ensure that digital loan consumers are up-to-date with their CRB status, an online platform should be created to show real-time CRB status. Subsequently, consumers will be prompted to make payments as agreed to in the credit terms.

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APPENDICES

APPENDIX 1: COVER LETTER

KUNG’U JEFFRY KUNG’U

P.O BOX 340,

MACHAKOS, KENYA.

Dear Sir/Madam,

To successfully conclude my discipline in Finance at the United States International University-Africa, I am conducting a research survey on the effect of digital credit on Kenyan consumers.

The information that you will provide will solely be used for this academic research purpose.

I kindly ask that you may participate in this survey by filling in a questionnaire.

Thank you in advance.

Yours sincerely,

Kuruma Jeffry Kung’u.

APPENDIX 2: QUESTIONNAIRE

DIGITAL CREDIT SURVEY

The survey being carried out is conducted by a student in the United States International University - Africa in fulfillment of the Finance undergraduate program.

It is conducted to examine how digital credit (online loans) has affected consumers in Kenya. The survey consists of only 11 questions.

The responses given herein will be discretely treated and used only for the purpose of research.

*** Required**

1. Which digital credit providers do you mainly use? *****
Example: M-Shwari, Tata, Branch etc. You could name at least 2.

2. How regularly do you use digital credit in a month? *****

Mark only one oval.

- ☐ 1 - 3 Times
☐ 4- 6 Times
☐ More than 6 Times

3. Are you aware of the cost of credit when taking it? *****
Cost of credit refers primarily to the interest payments.

Mark only one oval.

- ☐ Yes
☐ No

4. Why do you prefer taking loans from digital credit providers? *

5. How do you use these loans? *

6. Have you ever repaid the digital loan late? *

Mark only one oval.

☐ Yes

☐ No

7. Have you ever defaulted on any digital loan? *

Mark only one oval.

☐ Yes

☐ No

8. To what degree do you think digital credit has affected you? *

Mark only one oval.

1 2 3 4 5

Negatively ☐ ☐ ☐ ☐ ☐ Positively

9. Briefly explain how it has affected you? *

Whether negatively or positively.

10. What is your age bracket? *

Mark only one oval.

☐ 18-25

☐ 26-33

☐ 34-41

☐ 41 and Above

11. What do you think can be done to improve digital credit?

Thank you taking part in this survey.

3.6 Work Plan

Table 3.1 Work Plan for Activities

Activity	Time
Formulation of questionnaire and conducting pilot study.	2 days
Disbursement of questionnaire to respondents	4 days
Receiving of data and analysis	1 week
Development of research report	1 week

APPENDIX 3: List of Digital Credit Platforms in Kenya

- 1) Afrika Loans
- 2) Branch
- 3) Eazzy Loans
- 4) FlashPesa
- 5) Fuliza
- 6) Fululiza Senti
- 7) KCB Mobiloan
- 8) Kopa Jirani
- 9) M-Shwari
- 10) Mlash Bee
- 11) Okash
- 12) Okolea
- 13) Opesa
- 14) Pesa Loans
- 15) Stawika
- 16) Tajiri
- 17) Tala
- 18) Zenka

APPENDIX 4: List of CRB's in Kenya

- 1) Metropol Credit Reference Bureau Limited
- 2) Creditinfo Credit Reference Bureau Kenya Limited
- 3) Transunion Kenya Offices